

FEDERAL MARITIME COMMISSION

Office of Administrative Law Judges

MSRF, INC., *Complainant*

v.

HMM CO. LTD, *Respondent*.

DOCKET NO. 22-20

Served: May 26, 2023

ORDER OF: Linda S. CROVELLA, *Administrative Law Judge*.

ORDER TO CORRECT FILINGS

On April 21, 2023, Complainant filed a Motion for Confidential Treatment, along with Proposed Findings of Fact, and Appendix. On April 24, 2023, the undersigned issued an Order on Complainant's Filings, accepting Complainant MSRF, Inc.'s ("MSRF") April 21, 2023 Motion for Summary Decision as Complainant's initial brief, for the reasons stated in the Order, but did not address the Motion for Confidential Treatment. On May 12, 2023, Respondent HMM Co. Ltd ("HMM") filed a Motion for Confidential Treatment as well as its Opposition Brief, Proposed Findings of Fact, Reply to Complainant's Proposed Findings of Fact, and Appendix.

In both instances, MSRF and HMM over-designated testimony and documents as confidential in their filings, including marking as confidential entire exhibits and depositions, contrary to the instructions in the Initial Order at pages 4-5. While HMM did identify in its brief and supporting records what material it considered confidential by use of shading, it incorrectly redacted witness depositions and most exhibits in toto under a claim of confidentiality.¹ Similarly, MSRF redacted entire witness depositions and entire exhibits from the public version of its Appendix, and also failed to identify what portions of its Proposed Findings of Fact and brief contained references to confidential material.² Such wholesale redaction means that the public will be unable to determine if the parties' dispute is similar to one they may have. In addition, if all exhibits and all witness testimony with the exception of one declaration and

¹ Of 858 pages of exhibits it submitted, HMM redacted nearly all the pages from the public version of the Appendix.

² Of 273 pages of exhibits it submitted, MSRF redacted all but 16 pages from the public version of the Appendix, excluding exhibit cover pages.

portions of a few emails are considered confidential, the undersigned will be unable to issue a public decision that adequately addresses the facts at issue in this case.³

On August 22, 2022, an initial order was issued which provided detailed information about filing confidential material. If confidential information was filed, a “motion justifying confidential treatment” was required which showed “*good cause by demonstrating that the information is a trade secret or other confidential research, development, or commercial information.*” Initial Order at 4-5 (citing 46 C.F.R. § 502.141(j)(1)). In addition, Commission Rule 5 states that: “Confidential information in exhibits should be marked as specified above. If marking within the text is not feasible, individual pages may be replaced in the public version with a page indicating that confidential material is excluded. *Entire exhibits should not be excluded, only those pages containing confidential material.*” 46 C.F.R. § 502.5(a)(2)(iii) (emphasis added).

Here, the parties failed to show good cause for the wholesale redaction of depositions and other exhibits. Accordingly, both motions for confidential treatment are **DENIED WITHOUT PREJUDICE**. The Office of the Secretary is requested to keep the documents confidential until the parties submit a revised request.

To assist the parties in how to mark confidential material, the following language has been added to initial orders (but did not appear in the August 22, 2022, order issued in this proceeding):

Confidential Request Table – It is recommended that a confidential request table be submitted, organizing requests for confidential treatment of exhibits by bates number. The table may include: (1) the bates range for confidential document requests, (2) the document’s description, (3) whether confidential treatment is being requested for the entirety of the bates range or only for certain material marked in both the confidential and public versions, and (4) the legal basis for the confidentiality request. If a particular bates range in an appendix does not include any confidential information, it does not need to be listed in the confidential materials list. If a supplemental appendix is later submitted, it is recommended that a new comprehensive confidential bates list be submitted, which includes the previous list and any additional bates ranges for which confidential material has been requested (resulting in one confidential list for Complainants and one confidential list for Respondents, encompassing all confidentiality requests).

Example: [Party Name] Appendix - Confidential Bates Table

³ The parties should review the Complaint, Answer, and Complainant’s Proposed Findings of Fact; those pleadings and the Proposed Findings of Fact provide more unredacted alleged facts than the exhibits each party submitted. Because these pleadings and the Proposed Findings of Fact were filed without a confidentiality provision, the information contained in them cannot now be deemed confidential. In their revised confidentiality submissions, the parties should acknowledge what they have already made public and not contend that those facts are now confidential.

<i>Bates Range</i>	<i>Description</i>	<i>Classification Requested for</i>	<i>Basis for Confidentiality Request</i>
CX 12-13	Depo. Transcript of [Name]	Material indicated	Current pricing data
RX 8-9	Agreement dated [dd/mm/yy]	Entire page range	Commercially sensitive rates and terms

The parties are also directed to the Initial Order at page 5, paragraph 21 for further information on how to designate confidential material within a brief, motion, or proposed findings of fact and note that in this exemplar, only the numbers are confidential and redacted:

For example, the confidential filing may read: “On January 1, 2010, Complainant entered into a {25} year lease with respondent for a monthly rent of {\$1000}.” The public version would read: “On January 1, 2010, Complainant entered into a { } year lease with Respondent for a monthly rent of { }.”

The updated language in initial orders regarding the treatment of depositions should also help the parties better understand that *only* those portions of the testimony that include disclosure of a “trade secret or other confidential research, development, or commercial information” should be designated as confidential:

Depositions – Parties may not mark entire depositions as confidential. Parties should ask questions that may require confidential responses together, typically at the end of the deposition. Alternatively, parties may mark as confidential selected statements in a deposition prior to filing the deposition as an exhibit. Requests for confidential treatment of entire depositions should not be made and may be summarily rejected.

The parties should supplement their motions for confidential treatment to specifically identify the information in depositions and exhibits which they seek to keep confidential and the basis for that request. The parties should only request confidential treatment for the portions of the depositions and exhibit pages which include confidential material. The parties should file (1) a table listing confidential requests by bates number for material they contend are entitled to confidential treatment (as described in more detail above); and if the parties are able to narrow their requests, they should file (2) revised public versions of the appendices. Both the confidential request table and the revised public appendices must be resubmitted in whole, and these new versions will replace the previous versions submitted.

The parties are also encouraged to file revised confidential appendices that clearly mark the material in the depositions that they contend is entitled to confidential treatment. Similarly, both parties must submit revised confidential versions of Proposed Findings of Fact and responses to the other party’s Proposed Findings of Fact, indicating in a clear manner (such as red boxes or brackets) what is confidential information. No changes to the content of the revised filings may be made and the pagination must remain the same; only the identification of what

portions contain confidential information should be revised based on the resubmitted motion(s) for confidentiality, and the cover should state that it is a “Revised” filing.

Respondent did not include “a table of contents identifying the page at which each individual document begins,” or clearly identify each exhibit, “for example, by a cover sheet or bookmark.” Scheduling Order at 3. To avoid pagination changes, Respondent should provide a separate table of contents that lists the bates numbers at which each exhibit begins and ends, along with a brief description of the exhibit. The table of contents ought to list the bates ranges plus description of *each* exhibit. The revised submission of the confidential and public versions of all filings must have identical pagination to the initially filed version and may not include any new text or exhibits (other than listing the filings as the “Revised” version). Respondent is reminded to serve its filings, including the revised Proposed Findings of Fact, Response to the Complainant’s Proposed Findings of Fact, and Appendix, to Secretary@fmc.gov as well as Judges@fmc.gov.

The parties should submit their supplemental motions and revised filings by June 9, 2023. These additional filings will help ensure that no material that should be entitled to confidential treatment is inadvertently released. No changes are required at this time to the parties’ briefs. The filings that may be resubmitted include:

- Supplemental Motions of Confidential Treatment
- Revised legible Public Appendix with only confidential information redacted
- Revised legible Confidential Appendix with confidential information marked
- Revised Public Proposed Findings of Fact with only confidential information redacted
- Revised Confidential Proposed Findings of Fact with confidential information marked
- Table of Contents, if not previously submitted
- And a Confidential Request Table, not previously submitted

Finally, a number of MSRF’s exhibits are partially or fully illegible and should be replaced in the resubmitted Confidential Version Appendix,⁴ including most of “Group Exhibit Service Contract,” and the chart accompanying the damages calculation. The quality of the latter is such that when one attempts to enlarge it, the numbers are not fully legible.



Linda S. Harris Crovella
Administrative Law Judge

⁴ MSRF is reminded that the appendices should be labeled “Confidential Version” and “Public Version,” as directed in the Initial Order. To the extent that Respondent included in its appendices the exhibits that are not fully legible in Complainant’s, they need not be replaced in Complainant’s revised appendices.